OPEH LLC

500 Park Avenue
New York, New York 10022

VIA FEDERAL EXPRESS

September 25, 2018

Michael E. Bleich
Alexis K. Bleich
13 Harrison Street, Unit 1
New York, New York 10013

Re: Bleich – OPEH LLC Promissory Note

Dear Michael and Alexis:

The maturity date of the Promissory Note executed by you on January11, 2018 (the "Note") was September 1, 2018. Payment has not been received, and you are under default of the Note in accordance with Sections 7(i) and 7(ii) of the Note.

The Principal Amount of Two Million Two Hundred Thirty-Three Thousand Seven Dollars ($2,233,007.00) and the accrued interest in the amount of One Hundred Fifty-Five Thousand Seventy Dollars ($155,070.00) is due and payable immediately to OPEH LLC.

Your failure to remit full and immediate payment of Two Million Three Hundred Eighty-Eight Thousand Seventy-Seven Dollars ($2,388,077.00) is resulting in the accrual of additional interest at the default rate of 15% per annum.

OPEH LLC will take all available steps to enforce the Note. All rights reserved.

OPEH LLC

Sincerely,

Benjamin D. Pierson
Authorized Signatory

PROMISSORY NOTE

$ 2,233,007.00 As of January 11, 2018

FOR VALUE RECEIVED, MICHAEL E. BLEICH and ALEXIS K. BLEICH, husband and wife having an address at 13 Harrison Street, Unit #1, New York, New York 10013 ("Makers"), promises to pay to the order of OPEH LLC, a Delaware limited liability company having an address at 500 Park Avenue, New York, New York 10022 ("Holder"), the principal sum of two million two hundred thirty-three thousand seven U.S. Dollars ($ 2,233,007.00), (the "Principal Amount") together with interest as set forth below. Makers shall also pay all costs of collection incurred by Holder in collecting any sum owing under this Note, whether or not litigation is commenced, and including without limitation court costs and reasonable fees and expenses of attorneys. The Makers and Holder are from time to time collectively referred to as the "Parties".

1. Interest. Interest shall accrue on the principal balance from time to time outstanding on this Note at a rate of 10% per annum, compounded annually. All interest shall be calculated on the basis of a year of three hundred sixty (360) days for the actual number of days elapsed. All accrued and unpaid interest shall be payable on the Maturity Date. If the day on which any payment due under this Note is not a Business Day, then such amount due on such date will be due on the immediately subsequent Business Day. The term "Business Day" when used herein means a weekday, except a legal holiday or a day on which banking institutions in the State of New York are authorized by law to be closed.

2. UCC-1 Financing Statement. In connection with this Note, Holder has filed a UCC-1 Financing Statement against all of Makers' right, title and interest in a certain condominium located at 13 Harrison Street, Unit #1, New York, New York 10013 (Block 180, Lot 1351) (the "Property"), including but not limited to all appliances, fixtures and other property located at the Property, as well as all of the assets and property of Makers, all of which are identified as "Collateral" in the UCC-1, to secure repayment of this Note. At all times during which any obligation under this Note is outstanding, Makers hereby grant to the Holder a security interest in and lien on the Property and the "Collateral" and proceeds from the sale of the Property and Collateral identified in the UCC-1. Makers shall make, execute and endorse, and acknowledge and deliver or file, or cause the same to be done, all such additional agreements, undertakings, conveyances, transfers, assignments, financing statements, and other assurances, and take any and all such other action, as Holder may, from time to time, deem reasonably necessary or proper in connection with this Note or the obligations under this Note, or for granting to the Holder any security for the obligations under this Note. which the Holder may reasonably request from time to time, including, without limitation, filing UCC-1 financing statements (and amendments thereto) reflecting its respective security interest in the Collateral, and the Property and all proceeds from the sale of the Property.

3. Repayment. Principal and interest are payable in the lawful currency of the United States of America, in immediately available funds, without any defense, set-off, counterclaim, rescission, recoupment or deduction of any kind. All payments shall be made to Holder by check, certified funds delivered to the Holder at the above address or by wire transfer of immediately available funds to an account identified in writing to the Makers by the Holder. Any payment by Makers to Holder shall be applied first to payment of accrued, unpaid interest and then to payment of the outstanding principal balance of this Note. Any remaining outstanding principal balance of this Note, and any accrued but unpaid interest thereon, shall be due and payable either on the date upon which the Makers close the sale of, or otherwise transfer the Property or on September 1, 2018, whichever occurs first (the "Maturity Date").

4. Prepayment. Makers may prepay this Note, in whole or in part, at any time, without premium or penalty, provided that any such prepayment will be applied first to the payment of expenses, if any, due under this Note, then to accrued but unpaid interest and then to the unpaid Principal Amount it being the intention of the parties that prepayment by Maker is without prejudice

5. Waiver. The Makers hereby (a) waive presentment, demand, protest, notice of protest and/or dishonor, and all other demands or notices of any sort whatsoever with respect to or in connection with the delivery, acceptance, performance, default or enforcement of this Note, (b) waive any right to require Holder to proceed against any security for this Note before proceeding

hereunder and (c) waive diligence in the collection of this Note or in the filing of suit on this Note. No course of action or delay or omission of the Holder in exercising any right or remedy hereunder shall constitute or be deemed to be a waiver of any right or remedy hereunder, and a waiver on one occasion shall not operate as a bar to or a waiver of any such right or remedy on any further occasion. The Makers agree to make all payments under this Note without set-off or deduction and regardless of any counterclaim or defense.

6. Amendments. No amendment to any provision of this Note shall in any event be effective unless the same shall be in writing and signed by Holder and Makers.

7. Default. The occurrence of any of the following shall constitute an "Event of Default" under this Note:

(i) the Makers shall fail to pay within ten (10) Business Days any interest when due;

(ii) the Makers shall fail to pay within ten (10) Business Days the Principal Amount when due;

(iii) the Makers shall fail to perform or observe any other term or condition binding hereunder and such failure shall continue unremedied for a period of ten (10) Business Days after written notice thereof from any Holder;

(iv) the Makers file a voluntary petition under any bankruptcy, reorganization, or insolvency law of any jurisdiction;

(v) the Makers consent to or apply for appointment of a trustee, receiver, custodian, or similar official for itself or for all or substantially all of its assets;

(vi) a trustee, receiver, custodian, or similar official is appointed to take possession of all or substantially all of the Makers' assets and such appointment is not dismissed within thirty (30) days after appointment;

(vii) the Makers make any assignment for the benefit of creditors, or other arrangement or composition under any laws for the benefit of insolvents which is not dismissed within thirty (30) days;

(viii) an order for relief is entered against the Makers under any bankruptcy, reorganization, or insolvency law of any jurisdiction and is not dismissed or stayed within thirty (30) days after its entry; or any case, proceeding, or other action seeking such order remains undismissed for thirty (30) days after its filing; or

(ix) any lien, writ of attachment, garnishment, or execution is levied against all or substantially all of the Makers' assets, including but in no way limited to the Property; or all or substantially all of the Makers' assets, including but in no way limited to the Property, become subject to any lien, attachment, garnishment, execution, or other judicial seizure, and the same is not satisfied, removed, released, or bonded within thirty (30) days after the date the lien was filed, the writ was levied or the date of the attachment, garnishment, execution, or other judicial seizure.

If an Event of Default shall occur and be continuing, the entire unpaid Principal Amount of this Note and accrued interest thereon shall immediately become due and payable upon the delivery of written notice to the Makers that the Holder elects to accelerate payment of this Note. Failure to exercise such option shall not constitute a waiver of any of the Holder's rights to exercise such option in the event of a subsequent default.

During any period an Event of Default has occurred and is continuing after the expiration of any cure period, any amount of principal then outstanding shall bear interest (the "Default Interest") at a rate equal to 15% per annum, compounded annually. All interest shall be calculated on the basis of a year of three hundred sixty (360) days for the actual number of days elapsed. In addition, upon an Event of Default, the Holder shall have all of the rights and

remedies of a secured party under the New York Uniform Commercial Codes (the "UCC"), except those rights and remedies of a secured party as set forth in UCC §9-620 ("§9-620 Rights"), unless the Makers consent to grant to the Holder said §9-620 Rights, including the right to foreclose, sell, lease or otherwise dispose of any or all of the Collateral in any manner allowed by the UCC, including, without limitation the right to take possession, with or without prior notice to the Makers, of all or any part of the Collateral. From the date hereof, such secured party will also have the right to file UCC-1 financing statements (and amendments thereto) reflecting its respective security interest in the Collateral.

The Makers shall promptly advise Holder of any Event of Default that has occurred, or that Makers' reasonably anticipate will occur, within forty-eight (48) hours of any such occurrence or when Makers reasonably should have known of, or anticipated, any such occurrence.

8. Notices. All notices, demands, elections, requests or other communications given or made under this Note ("Notices") must be in writing and shall be deemed properly given or made only if delivered to the party's addresses indicated above (or to such other address in the United States as may be specified by Notice given as provided herein) in one of the following manners: (i) by hand delivery, (ii) by FedEx or other nationally recognized delivery service offering overnight delivery, or (iii) by certified mail (postage prepaid, return receipt requested). The Parties may designate a new address for purposes of notice hereunder by giving written notice thereof to the other party in accordance with this paragraph.

Makers acknowledge and agree that this Note has been tendered by the Makers in connection with the satisfaction and discharge of the corporate obligation of Ophir Partners, LLC to OPEH, LLC, in consideration of the personal guaranty of the Makers. Accordingly, in addition, and not in limitation of, any other Notice obligations herein, the Makers, shall (a) keep Holder reasonably apprised of the status of any anticipated sale or transfer of the Property in satisfaction of Makers' obligations hereunder; (b) immediately advise Holder if any one or both Maker(s) become the subject of any governmental investigation, examination, charges, or proceedings; (c) immediately advise Holder of any event or occurrence that will or may adversely impact Holder's rights and remedies hereunder; and, (d) disclose (x) this Note and (y) Makers' obligation to pay the Holder pursuant to the terns of this Note to the title company of any purchaser of the Property.

9. Invalidity. Any provision hereof which is to any extent invalid or unenforceable shall be ineffective only to the extent of such invalidity or unenforceability without invalidating the remaining provisions hereof, and each provision of this Note shall be valid and enforceable to the fullest extent permitted by law.

10. This Note is fully assignable and transferable by Holder in Holder's discretion, and the assignee or transferee party shall become "Holder" for all purposes of this Note upon (but not prior to) written notice of such assignment or transfer being given to Makers. Makers shall not be responsible to any subsequent Holder of this Note on account of any payment made by Makers to a prior Holder prior to receipt of notice of assignment in the manner contemplated by the preceding sentence.

11. This Note is and shall be binding upon Makers and Makers' estates, heirs, successors and assigns. No assignment or delegation of any of the obligations of Makers under this Note shall release Makers therefrom, except as otherwise agreed in writing by the then Holder of this Note.

12. It being the intent of the Parties that the interest charged herein shall comply with applicable usury laws. As such, in the event any interest is charged and/or paid on this Note that is deemed to be in excess of the then legal maximum rate, then that portion of the interest payment representing an amount in excess of the then legal maximum rate shall be deemed a payment of principal and applied against the principal of this Note.

13. This Note is governed by, and is to be construed in accordance with, the laws of the State of New York, without reference to the conflicts of laws principles thereof. Each of the Parties hereto and their assigns hereby consents to the exclusive jurisdiction and venue of the New York State courts seated in the County and State of New York and the United States District Court for the Southern District of New York with respect to any matter relating to this Note and performance of the Parties' obligations hereunder, the documents and instruments executed and delivered concurrently herewith or pursuant hereto and performance of the parties' obligations thereunder and each of the parties hereto hereby consents to the personal jurisdiction of such

courts and shall subject itself to such personal jurisdiction. Any action, suit or proceeding relating to such matters shall be commenced, pursued, defended and resolved only in such courts and any appropriate appellate court having jurisdiction to hear an appeal from any judgment entered in such courts. The Parties irrevocably waive the defense of an inconvenient forum to the maintenance of such suit or proceeding. To the extent permitted by applicable law, the Parties hereby irrevocably waive all right of trial by jury in any action, proceeding or counterclaim, arising out of or in connection with this Note or any matter arising hereunder.

14. In addition to any other sums payable by the Makers hereunder, in the event of an Event of Default, the Makers agree to pay the Holder's reasonable costs of collection and reasonable attorneys' fees incurred in the collection of the obligations of the Makers under this Note and in the enforcement of any provision hereof, whether suit be brought or not.

15. In the event that a signature is delivered by facsimile transmission, PDF, electronic signature or other similar electronic means, such signature shall create a valid and binding obligation of the party executing (or on whose behalf such signature is executed) with the same force and effect as if such signature page were an original thereof.

16. MAKERS WAIVE DILIGENCE, DEMAND, PRESENTMENT FOR PAYMENT, NOTICE OF DISHONOR, PROTEST AND NOTICE OF PROTEST, NOTICE OF ANY RENEWAL OR EXTENSION OF THIS NOTE, AND/OR ANY OTHER NOTICE OF ANY KIND IN CONNECTION WITH THIS NOTE (OTHER THAN NOTICE EXPRESSLY CONTEMPLATED ABOVE IN SECTION 10. IN CONNECTION WITH THE ASSIGNMENT OR OTHER TRANSFER OF THIS NOTE TO A SUBSEQUENT HOLDER).

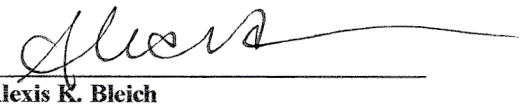
IN WITNESS WHEREOF, the undersigned have executed and delivered this Promissory Note as of the date first set forth above.

MICHAEL E. BLEICH



By: _____
Michael E. Bleich

ALEXIS K. BLEICH



By: _____
Alexis K. Bleich

SUPREME COURT OF THE STATE OF NEW YORK
COUNTY OF NEW YORK

----------x

OPEH LLC,

Plaintiff, Index No.

-against-

MICHAEL E. BLEICH and
ALEXIS K. BLEICH,

Defendants.

----------x

PLAINTIFF'S MEMORANDUM OF LAW IN SUPPORT OF MOTION FOR SUMMARY JUDGMENT IN LIEU OF COMPLAINT

TARTER KRINSKY & DROGIN LLP
1350 Broadway
New York, New York 10018
(212) 216-8000
Attorneys for Plaintiff

PRELIMINARY STATEMENT

Plaintiff, OPEH LLC ("Plaintiff" or "OPEH"), by its attorneys, Tarter Krinsky & Drogin LLP, submits this memorandum of law in support of its motion for summary judgment in lieu of complaint seeking the sum $2,233,007, together with interest accruing from September 17, 2018 until paid, at the agreed upon rate of 15% *per annum* ($930.42 *per diem*), and the accrued unpaid interest in the amount of $155,070, plus OPEH's reasonable costs of collection including, without limitation, reasonable attorneys' fees, and the costs of this action.

On January 11, 2018, Defendants duly executed a promissory note (the "Promissory Note"), an instrument for the payment of money only, promising to pay OPEH, *inter alia*, $2,233,007, for value received from OPEH. Defendants failed to make any payments to OPEH pursuant to the Promissory Note. Because Defendants failed to make any payments whatsoever pursuant to the Promissory Note, the OPEH is entitled to summary judgment in the sum of $2,233,007, together with interest accruing until paid at the agreed upon rate of 15% *per annum* ($930.42 *per diem*), and the accrued unpaid interest in the amount of $155,070, plus OPEH's reasonable costs of collection including, without limitation, reasonable attorneys' fees, and the costs of this action, in accordance with the terms of the Promissory Note.

STATEMENT OF FACTS

The full facts related to this motion are fully set forth in Aaron Sosnick's Affidavit in Support of Plaintiff's Motion for Summary Judgment in Lieu of Complaint sworn to on September 26, 2018 ("Sosnick Aff."), together with the exhibits annexed thereto and submitted herewith.

ARGUMENT

OPEH IS ENTITLED TO A MONEY JUDGMENT AGAINST DEFENDANTS

CPLR §3213 authorizes a motion for summary judgment in lieu of complaint, providing, in relevant part, that:

> When an action is based upon an instrument for the payment of money only or upon any judgment, the plaintiff may serve with the summons a notice of motion for summary judgment and the supporting papers in lieu of a complaint. The summons served with such motion papers shall require the defendant to submit answering papers on the motion within the time provided in the notice of motion.

It is well settled that a "plaintiff would prove a *prima facie* case by proof of the note and a failure to make the payments called for by its terms." *Seaman-Andwall Corp. v. Wright Mach. Corp.*, 31 A.D.2d136, 295 N.Y.S.2d 752 (1968); and, that the threshold requirement for such *prima facie* case is the existence of a "'commercial paper in which the party to be charged has formally acknowledged the indebtedness.'" *Weissman v. Sinorm Deli, Inc.*, 88 N.Y.2d 437, 444, 646 N.Y.S.2d 301, *quoting, Interman Indus. Products, Ltd. V. R.S.M. Electron Power, Inc.*, 37 N.Y.2d 151, 154-155, 371 N.Y.S.2d 675.

Here, OPEH's motion is based upon Defendants' failure to make payments pursuant to the Promissory Note in which, the Defendants formally and explicitly acknowledged their indebtedness to OPEH. *See,* Sosnick Aff. at ¶3. A copy of the Promissory Note is annexed to the Sosnick Aff. as Exhibit A.

The Promissory Note sets forth payment terms, to wit, Defendants agreed that, for value received, to pay OPEH the principal sum $2,233,007, with interest at the rate of 10%, *per annum,* compounded annually, on or before September 17, 2018. *See,* Sosnick Aff. at ¶¶3 and 5;

and, Exhibit A of the Sosnick Aff.

Additionally, the Promissory Note provides that, in the event of a default, a default rate of interest ("Default Rate") will be applied to during any period an Event of Default that has occurred and to the amount of principal then outstanding at a rate equal to 15% *per annum*, compounded annually. *See,* Sosnick Aff. at ¶13 and, Exhibit A of the Sosnick Aff.

Pursuant to the Promissory Note, the total amount due to OPEH on September 17, 2018 was: (i) $155,070 in accrued and unpaid interest; and, (ii) the Principal Amount of $2,233,007, or $2,388,077.

Defendants failed to make any payments pursuant to the Promissory Note. *See,* Sosnick Aff. at ¶¶8 and 9.

Defendants' initial event of default occurred when Defendant failed to pay OPEH interest in the amount of $155,070, pursuant to the Promissory Note, on the Maturity Date. *See,* Sosnick Aff. at ¶¶6 and 8; and, Exhibit A of the Sosnick Aff.

Defendants' other event of default occurred when Defendant failed to pay OPEH the Principal Amount of $2,233,007 pursuant to the Promissory Note on the Maturity Date. *See,* Sosnick Aff. at ¶¶6 and 9; and, Exhibit A of the Sosnick Aff.

The Default Rate applies to the total balance due of or $2,233,007 is 15% *per annum* ($930.42 *per diem*).

The Promissory Note also provides that Defendants will pay the costs of collection and reasonable attorneys' fees in the event of default. *See*, Sosnick Aff. at ¶14 and Exhibit A of the Sosnick Aff.

Accordingly, OPEH is entitled to summary judgment in the sum of $2,233,007, together with interest from September 17, 2018 until paid at the agreed upon rate of 15% *per annum*

($930.42 *per diem*), and the accrued unpaid interest in the amount of $155,070, plus OPEH's reasonable costs of collection including, without limitation, reasonable attorneys' fees, and the costs of this action, in accordance with the terms of the Promissory Note.

CONCLUSION

For all of the foregoing reasons, OPEH's motion for summary judgment in lieu of complaint should be granted and judgment should be entered in favor of Plaintiff OPEH LLC and against Defendants Michael E. Bleich and Alexis K. Bleich $2,233,007, together with interest from September 17, 2018 until paid at the agreed upon rate of 15% *per annum* ($930.42 *per diem*), until paid, and the accrued unpaid interest in the amount of $155,070, but in no event less than the amount of $2,388,077, plus OPEH's reasonable costs of collection including, without limitation, reasonable attorneys' fees, and the costs of this action, in accordance with the terms of the Promissory Note, and such other and further relief that this Court deems just and proper.

Dated: September 27, 2018

TARTER KRINSKY & DROGIN LLP
Attorneys for Plaintiff

By: _____

David J. Pfeffer, Esq.
Cathleen P. Cassidy, Esq.
1350 Broadway
New York, New York 10018
(212) 216-8000